

Here are the ideas which we have developed, and have incorporated in a statement of policy which starts out by saying:

Policies and services of Merrill Lynch, E. A. Pierce & Cassatt were formulated in a spirit of enlightened self-interest. While based on the conviction that they constitute an important advance in both facilities and protection for the investor and speculator, they represent primarily the kind of a brokerage service that we believe will have the greatest chance for enduring success. It is our opinion, as well, that the customer is entitled to this modernized form of brokerage service.

FINANCIAL STABILITY AS THE KEYSTONE

The first specific matter set forth in this statement has to do with financial stability, the keystone of our entire operation. We consider that since the firm carries free credit balances of customers, acts as custodian of their securities, functions as pledgee and finances margin transactions, it incurs in those financial relationships a responsibility to its clients which involves not only the maintenance of a high degree of financial stability at all times, but the added duty of supplying the trading public a clear picture of the firm's condition.

To meet the first, the firm will at all times maintain a working capital position well in excess of the requirements of the New York Stock Exchange.

The second objective will be attained by the issuance of a complete financial statement, in a form designed for maximum clarity and understanding.

Now in the matter of departmental policy: we operate a brokerage business in securities and commodities, and also underwrite and distribute securities.